



Let's rethink aging.

HOMEBUYER EDUCATION

Money Management & Understanding Credit



Financial Programs

Financial Counseling/Coaching

Financial Education Workshops

Matched Savings Programs

Benefits Enrollment Center

Vision Screening/Vouchers

Free Income Tax Preparation

Rental Assistance

Housing Programs

Homebuyer Education

Pre-Purchase Counseling

Rental/Transition Counseling

Foreclosure Prevention

Counseling

Property Tax Counseling

Senior Tax & Small Dollar Loans

Scheduled an Appointment! Call 216-791-8000 to be connected to a counselor.

AGENDA FOR THE WEEK

- ☐ Monday: How to manage your money & your credit
- ☐ Tuesday: Steps to Obtaining a Mortgage Loan & your Consumer Rights!
- ☐ Wednesday: Shopping for your home & the importance of a home inspection
- ☐ Thursday: Understanding the importance of home insurance & Maintaining your new home



Upfront Expense to Homeownership

☐ Downpayment

- ☐ 3.5% - 20% of home price
- ☐ Programs are available to help

☐ Closing Costs

- ☐ 1% - 6% of home price
- ☐ Home Appraisal fee
- ☐ Recording the transfer of ownership
- ☐ Paying real estate taxes on transfer of ownership
- ☐ Title insurance for the new owner (you)
- ☐ Fees for originating the loan

☐ Earnest Dollars

- ☐ 1%-3% of home price
- ☐ Serves as a deposit
- ☐ Shows seriousness about purchase

Why have a Spending Plan?

- Prepare for large expenses
- Prepare for surprise expenses
- Encourage savings
- Identify wasteful spending
- Accomplish your goals

Establish a Spending Plan

- Determine your net monthly income
- Calculate your monthly expenses
- Subtract your expenses from your income

Track Expenses for 30 Days!

Gather bills paid monthly

Collect receipts

Gather information for irregular expenses

Use a notebook

Use an online financial management tool

Review bank and credit card statements

Estimate additional expenses as needed

Monthly Expenses Worksheet

Housing

Rent or mortgage	\$ _____
Heating <i>(gas or oil)</i>	\$ _____
Electricity	\$ _____
Water or sewage	\$ _____
Telephones <i>(landlines and cell phones)</i>	\$ _____
Renters or homeowners insurance <i>(if not included in mortgage)</i>	\$ _____
Trash service	\$ _____
Home maintenance and furnishings	\$ _____
Cleaning supplies	\$ _____
Lawn service	\$ _____

Transportation

Gas	\$ _____
Car payment	\$ _____
Car insurance	\$ _____
Car inspection	\$ _____
Car repairs and maintenance	\$ _____
License plates and registration fees	\$ _____
Public transportation or taxi	\$ _____
Parking and tolls	\$ _____

Food

Groceries	\$ _____
School lunches	\$ _____
Work-related <i>(lunches and snacks)</i>	\$ _____

Insurance

Health <i>(medical and dental, if not payroll-deducted)</i>	\$ _____
Life	\$ _____
Disability	\$ _____

Medical

Doctor	\$ _____
Dentist	\$ _____
Prescriptions	\$ _____

Childcare

Childcare or babysitters	\$ _____
Child support or alimony	\$ _____

Clothing

Clothing	\$ _____
Laundry and dry cleaning	\$ _____

Donations

Religious or charity	\$ _____
----------------------	----------

Total Regular Monthly Expenses \$ _____

Education

Tuition	\$ _____
Books, papers and supplies	\$ _____
Newspapers and magazines	\$ _____
Lessons <i>(sports, dance, music)</i>	\$ _____

Gifts

Birthdays	\$ _____
Major holidays	\$ _____

Personal

Barber or beauty shop	\$ _____
Toiletries	\$ _____
Children's allowances	\$ _____
Tobacco products	\$ _____
Beer, wine or liquor	\$ _____

Entertainment

Movies, sporting events, concerts, etc.	\$ _____
Video rentals	\$ _____
Internet service	\$ _____
Cable/satellite TV	\$ _____
Restaurants and take-out meals	\$ _____
Gambling and lottery tickets	\$ _____
Fitness or social clubs	\$ _____
Vacations/trips	\$ _____
Hobbies or crafts	\$ _____

Miscellaneous

Checking account and money order fees	\$ _____
Pet care and supplies	\$ _____
Postage	\$ _____
Pictures and photo processing	\$ _____
"Mad" money	\$ _____

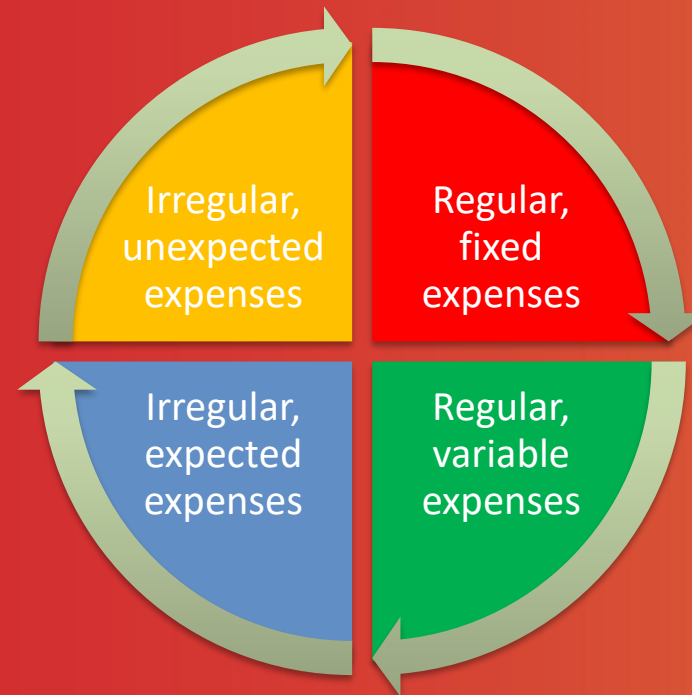
Debts

Student loan	\$ _____
Credit card <i>(monthly minimum)</i>	\$ _____
Credit card <i>(monthly minimum)</i>	\$ _____
Credit card <i>(monthly minimum)</i>	\$ _____
Medical bills	\$ _____
Personal loan	\$ _____

Other

Other	\$ _____
Other	\$ _____
Other	\$ _____

Different Types of Expenses



Review the Plan

- Is my spending plan working?
- Are all household members able to follow it?
- Which costs always seem to be over the planned amount?
- How much progress have we made?



ATTITUDE

BEHAVIOR

HABITS



How do you develop good spending habits?

To break bad spending habits, consider how they make you feel.

Give yourself a solid reason to spend wisely.

Live on a budget.

Actively practice gratitude. ...

Research before you shop. ...

Avoid your spending triggers. ...

Find an accountability partner. ...

Make The Necessary Adjustments

- ☐ Increase income
- ☐ Spend less
- ☐ Do both



Maximize Your Income

Sell items you no longer need

Rent out a room or other stuff

Start a small business

Take a part-time or full-time job

Apply for benefits



Reduce Your Spending



Use
coupons
and sales
ads



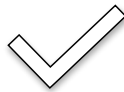
Use a list to
do grocery
shopping



Eat in as
much as
possible



Take
lunches to
work



Comparison
shop



Shop in
resale stores



Trade
services
with friends

Build Your Savings

- Pay yourself first
- Open a savings account where it is not easy to access funds
- Save change at end of the day
- Bank any windfalls



The Savings that will Help Grow Your Dollars

- ☐ Money Market Account
- ☐ High Yield Savings Account
- ☐ Certificate of Deposit (CD)
- ☐ Traditional Savings
- ☐ LEAP Match Savings with
Benjamin Rose

Make Money Management Easier

- Know when bills are due
- Use utilities level billing payments
- Open separate accounts
- Consider consolidating accounts
- Use your debit card
- Use direct deposit
- Stick to the plan



Control Day-to-Day Spending

- ☐ Carry as little cash as possible
- ☐ Buy only what you need
- ☐ Carry visual and written reminders of your goals

Down Payment Assistance Available

- ☐ Your Choice! Down Payment Assistance Program
- ☐ Grants for Grads
- ☐ Next Home program
- ☐ Check with your lender! Most lenders have their own DPA program that can be paired with other funding sources.
- ☐ Check with local housing agencies and cities of interest



Understand the Importance of Good Credit

- To rent or buy things you want or need
- To get a lower interest rate and save money
- To get a job
- To lease property
- To establish utility services
- To obtain insurance at a lower rate

Credit Reporting Agencies and Credit Reports



Credit Reporting Agencies

- Credit reporting agencies also known as “credit bureaus” are data collectors.
- They compile your credit history based on your credit accounts, using your Social Security number or other identifying information.
- They provide credit information, in the form of credit reports, to lenders and creditors to help them determine your creditworthiness.



www.equifax.com

800.685.1111



www.transunion.com

888.909.8872



www.experian.com

888.397.3742



■ Detailed record of your history of borrowing money and paying it back,

■ Report card about your credit standing,

■ Used by lenders, insurance companies, landlords, and employers to determine whether you have good financial habits.

Credit Report

Your Credit Score is:
765

Credit Rating: **EXCELLENT**

Excellent: 700 - 800
Good: 501 - 700
Fair: 351 - 500
Uncertain: 301 - 350
Poor: 201 - 300

Report Summary

Tradeline Overview

Total:	37
Current:	32
Trade:	0
Current Neg:	0
Original Neg:	1

Account Status

Current Past Due:	1
Accts Paid:	0
Account Balance:	1,000.00
Monthly Payment:	100.00

[This Photo](#) by Unknown Author is licensed under [CC BY-SA-NC](#)

Access to your Credit Report

- Fair Credit Reporting Act
- Ordering your free copy annually from all 3 credit reporting agencies by visiting www.annualcreditreport.com or calling 877-322-8228



What's Included in a Credit Report

Identifying information

Account information

Public record information

Inquiries



www.annualcreditreport.com

What's **NOT** Included in a Credit Report

- Criminal background
- Medical information
- Buying habits / transaction data
- Bank account information





HOW CREDIT SCORES WORK



What Factors Determine Your Credit Score

- How **much** you have borrowed
- The **diversity/type** of accounts you have
- How well you **repaid** debts
- How you are **handling current debts**
- The **age** of your accounts



Types of Accounts

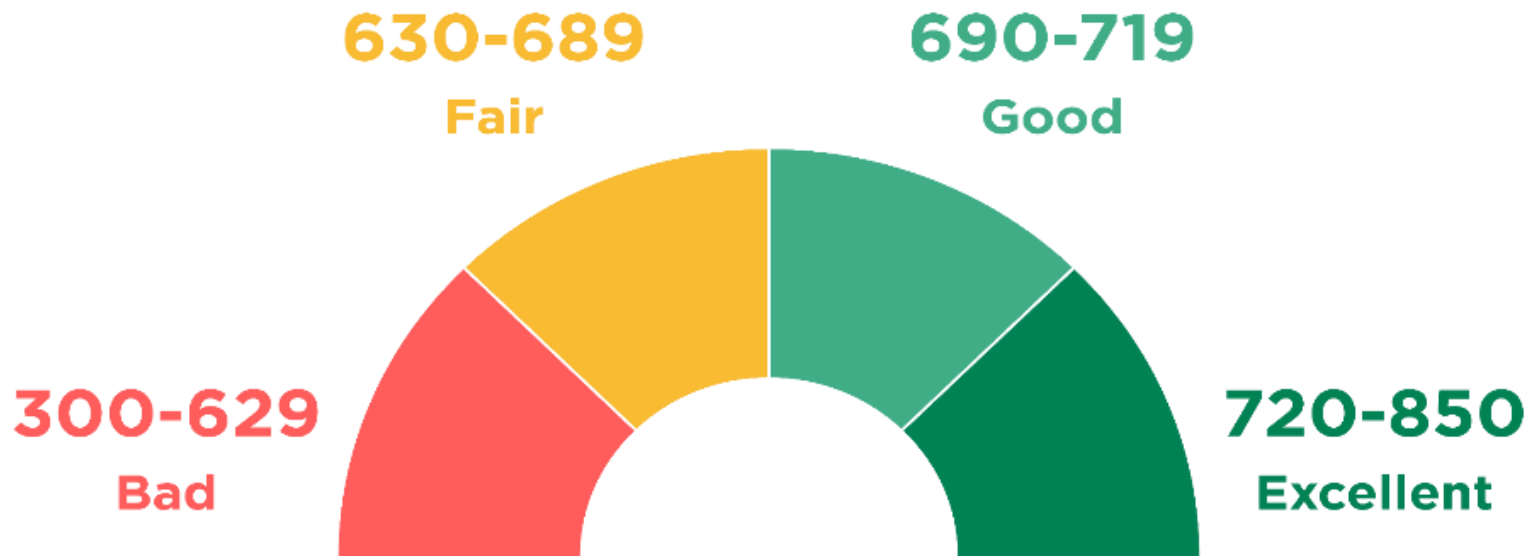
Use and responsibility

- Individual
- Joint
- Authorized user

Payment arrangement

- Installment
- Revolving
- Open 30-day

What is a good Credit Score?



How Long Does Information Remain?

Negative information 7 years

Bankruptcies 10 years

Inquiries 2 years

Generally, the period runs from the date of the last transaction



Disputing Inaccuracies

- ☐ Disputes can be put in writing or completed online
- ☐ Credit Reporting Agency must investigate – within 30 business days
- ☐ Must delete what they can't verify
- ☐ Must correct inaccuracies/Must report back to you



What Are Common Credit Problems?

- ☐ Pattern of late payments on current debts
- ☐ Past poor credit performance
- ☐ Bankruptcies
- ☐ Judgments or liens
- ☐ Past-due or collection accounts
- ☐ Charge-offs
- ☐ Foreclosures or repossessions



Solve Your Credit Problems

- ☐ Prepare and follow a realistic spending plan
- ☐ Contact creditors
- ☐ Seek professional help
- ☐ Pay past due accounts
- ☐ Write an explanation letter
- ☐ Negotiate a debt management plan
- ☐ Re-establish credit



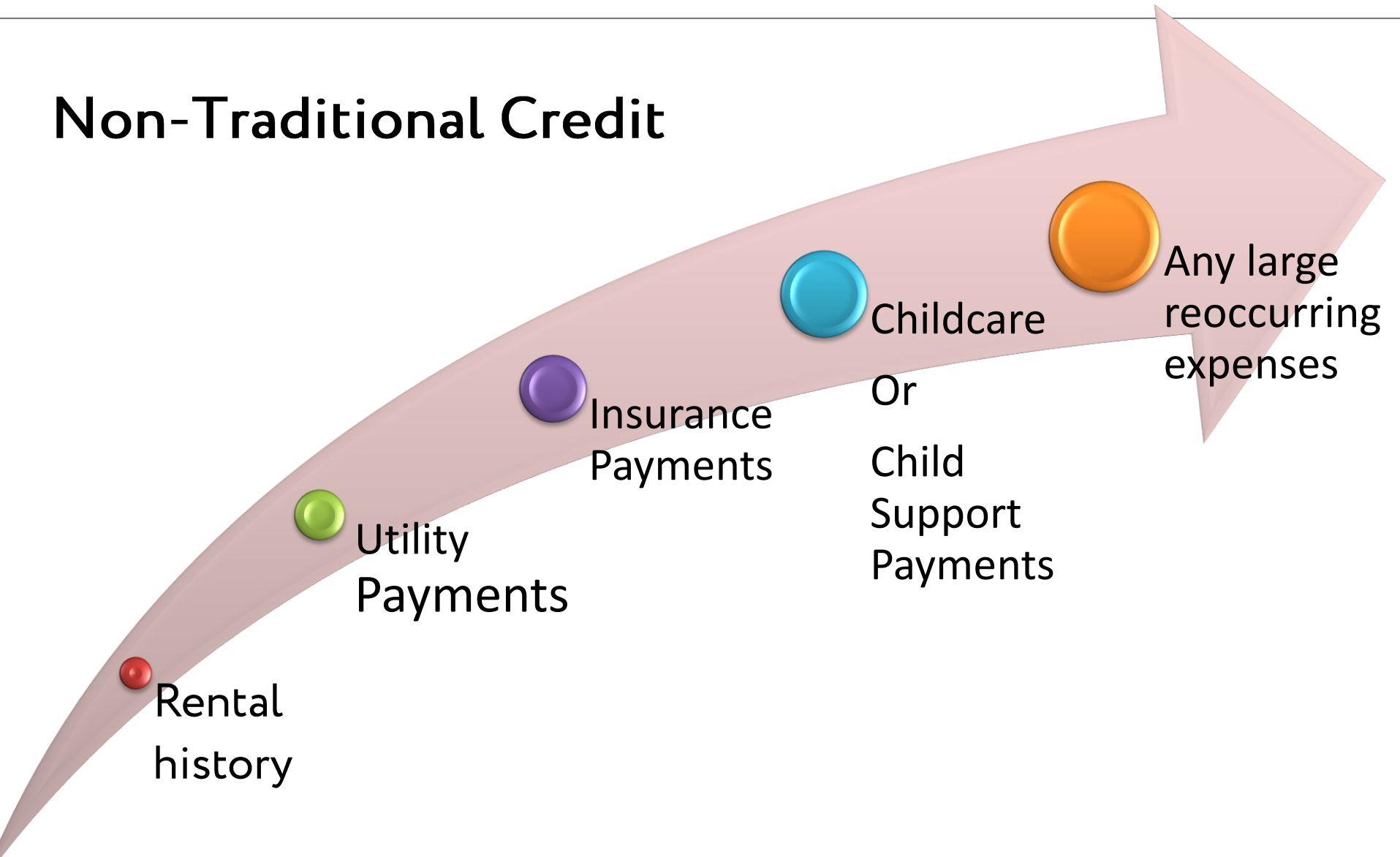


Watch Out for Quick Credit Fixes

- ☐ Asking for payment before services are provided
- ☐ Advising you to dispute all negative information
- ☐ Over-promising quick results
- ☐ Helping you get a new identity



Non-Traditional Credit



Identity Theft: How to **Prevent** it from Happening to You!



- Only provide Social Security number as needed
- Be cautious with personal information
- Shred documents
- Keep mail safe
- Store personal information in a safe place
- Don't carry unnecessary information
- Create unique passwords
- Pay attention to billing cycles
- Order credit reports annually

How To Handle Identity Theft

- ☐ Contact companies where fraud occurred
- ☐ Contact the credit bureaus' fraud departments
- ☐ Contact the Federal Trade Commission (FTC)
- ☐ File a police report
- ☐ Keep records of communications





Questions?